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Case Number: 25STCV19530 Hearing Date: August 17, 2026 Dept: 224

Bath v. Ford Motor Company, et al.,

TENTATIVE RULING

The demurrer is SUSTAINED with leave to amend as to the sixth cause of action in the First Amended Complaint. Plaintiffs shall file a Second Amended Complaint within 20 days.

If Plaintiff's Amended Complaint is not filed by September 8, 2026, the Court will deem that Plaintiff conceded the deficiencies in the Complaint noted below and Defendant may thereafter Answer by October 9, 2026.

The Case Management Conference is continued to December 7, 2026 at 8:30 a.m.

ANALYSIS

Introduction

On June 30, 2205, Plaintiffs filed a Complaint arising out of Plaintiffs' warranty contract with Defendant Ford regarding a 2019 Ford F-250 vehicle identification number 1FT7W2BT3KEF14057.

On August 19, 2025, Plaintiffs filed a First Amended Complaint.

On October 31, 2025, Defendant filed the instant Demurrer to Plaintiffs' First

Amended Complaint.

No opposition filed.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Matthew Barzman, executed on October 31, 2025, sets forth the meet and confer efforts of counsel for the Defendant, and counsel's attempts to resolve the discovery dispute informally by telephone. The declaration satisfies the requirement of Code of Civil Procedure section 430.41.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Statute of Limitations

To sustain demurrer to the complaint based on a statute of limitations defect, "the defect must clearly and affirmatively appear on the face of the complaint.... A demurrer will not lie where the action may be but is not necessarily barred." (Citizens for a Responsible Caltrans Decision v. Department of Transportation (2020) 46 Cal.App.5th 1103, 1117.)

The Fraudulent Concealment claim is not time-barred on the face of the complaint.

California Code of Civil Procedure section 338(d) establishes the three-year statute of limitations for fraud actions (CCP § 338.) Under Code of Civil Procedure § 338(d), a claim for fraud accrues when the aggrieved party discovers, or reasonably should have discovered, the facts constituting the fraud.

Here, Plaintiffs allege that they discovered Defendant's wrongful conduct shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following FORD's unsuccessful attempts to repair them. (FAC ¶ 25). Plaintiffs also invoke several tolling doctrines, including the equitable tolling, the discovery rule, equitable estoppel, fraudulent concealment rules, the repair rule, and/or class action tolling under American Pipe. (FAC ¶ 24.) These allegations are sufficient at the pleading stage, as a demurrer based on statute of limitations can only be sustained where the defect clearly and affirmatively appears on the face of the complaint.

The demurrer is OVERRULED on this ground.

Sixth Cause of Action: Fraudulent Inducement – Concealment

Duty to Disclose

Defendant argues that Plaintiffs have not pled a transactional relationship between FORD and Plaintiffs which gives rise to a duty to disclose.

The California Supreme Court “has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant.” (*BiglerEngler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Specifically, “[i]n transactions which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (*Ibid.*) For example, “a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

Here, the Court is not persuaded that FORD’s written warranty, without more, is sufficient to impose a duty to disclose upon FORD where Plaintiffs have not alleged facts indicating any “direct dealings” between the parties. (FAC, ¶ 7.) “Under California law, manufacturer warranties that accompany the sale of a vehicle without regard to the substantive terms of the sale contract between the buyer and the dealer are independent of the sale contract.” (*Davis v. Nissan North America, Inc.* (2024) 100 Cal.App.5th 825, 837, emphasis added.)

Plaintiffs have not alleged that FORD financed or controlled any sale, or otherwise had a direct interest in the sale of the Vehicle to Plaintiffs. Further, while Plaintiffs allege FORD concealed information in its “marketing materials” (FAC, ¶ 73), Plaintiffs have not alleged any factual detail identifying these materials such that it can be inferred that the materials were anything more than communications to the public at large. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 41 (“Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.”))

Plaintiffs have not set forth any legal authority to indicate that a written warranty, standing alone, constitutes the type of “direct dealings” necessary for such a duty, particularly where there are no facts alleging Plaintiffs purchased the Vehicle from a FORD-authorized dealership or other FORD sales representatives, or that FORD’s agents directly solicited business from Plaintiffs. (Cf. *Dhital v. Nissan North America, Inc.*, (2022) 84 Cal.App.5th 828, 844 (holding a transactional relationship is sufficiently pled for the purposes of a demurrer where “plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers.”))

Plaintiffs have not pled any factual detail to support an inference that FORD itself was selling through a dealership. At present, the First Amended Complaint is completely devoid of facts clarifying the circumstances through which Plaintiffs acquired the Vehicle. Plaintiffs must allege additional facts to support the existence of a transactional relationship with FORD.

Therefore, the Sixth Cause of Action is insufficiently pled.

The demurrer is SUSTAINED with leave to amend on this ground.

The Economic Loss Rule

Defendant further argues that the Economic Loss Rule bars Plaintiffs’ Sixth Cause of Action.

The economic loss rule posits that a purchaser of a product that does not live up to the buyer’s expectations can only recover in contract and not tort, “unless [the purchaser] can demonstrate harm above and beyond a broken contractual promise.” (*Food Safety Net Services v. Eco Safe Systems USA, Inc.* (2012) 209 Cal.App.4th 1118, 1130.) A tort claim for fraud must be sufficiently independent from a breach of contract claim for which the plaintiff suffered economic loss. (*Robinson Helicopter*, supra, 34 Cal.4th at 991.)

The Court of Appeal in Dhital addressed Nissan's assertion that, under Robinson Helicopter, the Buyer's cause of action is barred pursuant to the Economic Loss Rule because the cause of action concerns fraudulent concealment (as opposed to affirmative misrepresentations). The Court ultimately held that "[u]nder California law, the economic loss rule does not bar plaintiffs' claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court, and plaintiffs allege fraudulent conduct that is independent of Nissan's alleged warranty breaches." (Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828, 843, citing Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 989–90.)

In Rattagan v. Uber Techs. (2024) Inc., 17 Cal. 5th 1 (Rattagan), the California Supreme Court addressed the question left unanswered in Robinson Helicopter regarding the applicability of the economic loss rule in the context of a fraudulent concealment claim, holding that "an independent fraudulent concealment tort may arise during an ongoing contractual relationship." (Id. at p. 19 [emphasis original].)

Framed more specifically, the court stated:

"Can a plaintiff assert an independent claim of fraudulent concealment in the performance of a contract? The answer to this question is also yes. A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement."

(Rattagan, supra, 17 Cal. 5th 1 at p. 38.)

In other words, as long as the plaintiff can establish all the required elements of the cause of action independently of the parties' contractual rights and obligations and can demonstrate an exposure to risks of harm beyond those reasonably expected as a result of a contractual breach, then a cause of action for concealment may lie. (Ibid.) As stated in Rattagan, "it has long been the rule that where a contract is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for the fraud." (Id. at p. 41.)

Plaintiffs' Sixth Cause of Action alleges Defendant was aware and knew that 6.7L Engine in the Vehicle was defective but failed to disclose this fact to Plaintiffs prior to, at the time of sale, and thereafter (FAC ¶¶ 57-59), thereby alleging a claim for fraudulent concealment rather than affirmative representations. (See Dhital at p. 841 ["independence is present in the case of fraudulent inducement (whether it is achieved by intentional concealment or by intentional affirmative misrepresentations), because a defendant's conduct in fraudulently inducing someone to enter a contract is separate from the defendant's later breach of the contract or warranty provisions that were agreed to."; finding the economic loss rule did not preclude vehicle buyers' fraudulent inducement-concealment claim against the vehicle manufacturer, where the buyers' allegations concerned fraudulent conduct before the sale, which was therefore separate from the manufacturer's performance under the contractual or warranty provisions.]).

Here, the Court is guided by Dhital and concludes Plaintiffs' Sixth Cause of Action is not barred by the Economic Loss Rule. As stated in Dhital, "the economic loss rule does not bar plaintiffs' claim . . . for fraudulent inducement by concealment." (Dhital, supra, at p. 9.)

As such, the economic loss rule does not bar Plaintiffs' fraud cause of action as a matter of law.

The demurrer is OVERRULED on this ground.

Specificity

However, plaintiff must still plead the circumstances of fraudulent concealment with particularity. (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, 43–44.)

“The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact. [Citation.]’ [Citation.]” (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162.)

Ordinarily, “fraud must be pleaded specifically; general and conclusory allegations do not suffice.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.). “This particularity requirement necessitates pleading facts which show how, where, to whom, and by what means” the alleged fraud occurred. (*Id.*) The purpose of the particularity requirement is to “separate meritorious and nonmeritorious cases, if possible in advance of trial.” (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.)

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. (*Rattagan v. Uber Techs., Inc.*, 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024) citing *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 347, 134 Cal.Rptr. 375, 556 P.2d 737; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248, 129 Cal.Rptr.3d 874; *Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1472, 169 Cal.Rptr.3d 619.) In *Rattagan*, the court held that it had to determine whether the plaintiff alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties’ contract. If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, as the plaintiff alleged there, the Court found that the complaint also had to include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission. “[M]ere conclusory allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] ... are insufficient for the foregoing purposes.” (*Goodman*, at p. 347, 134 Cal.Rptr. 375, 556 P.2d 737.) (*Rattagan v. Uber Techs., Inc.*, 17 Cal. 5th 1, 43–44, 553 P.3d 1213, 1240 (2024)).

Defendant argues that Plaintiffs have not pled this cause of action with the requisite specificity. Namely, FORD argues that the FAC “lacks the requisite factual detail regarding FORD’s alleged fraudulent concealment—including the time, place, and manner of any purported misrepresentation or suppression of material facts,” and that Plaintiffs fail to “specify any particular misrepresentation or omission made directly to Plaintiffs that induced reliance in purchasing the Subject Vehicle.”

FORD’s argument sounds in the general rule for pleading fraud against a corporation, which requires a plaintiff to allege the identity of the speaker, their authority, to whom they spoke, what they said, and when it was said. (See, e.g., *Tarmann v. State Farm Mut. Auto Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) However, this rule is inapplicable to a claim of fraudulent concealment. (*Alfaro v. Community Housing Improvement System & Planning Association, Inc.* (2009) 171 Cal.App.4th 1356, 1384 (“How does one show ‘how’ and ‘by what means’ something didn’t happen, or ‘when’ it never happened, or ‘where’ it never happened?”).) Instead, such details, in the context of a fraudulent concealment claim, “are properly the subject of discovery, not demurrer.” (*Id.* at 1384-85.)

Here, the Court agrees that Plaintiffs do not plead the fraudulent concealment claim with the requisite particularity, though not for the reasons FORD identifies. As discussed above, the Tarmann factors FORD contends Plaintiffs omitted – the time, place, manner, and content of any misrepresentation or suppression – do not govern a claim sounding in concealment rather than affirmative misrepresentation. (*Alfaro*, *supra*, 171 Cal.App.4th at 1384.) The claim is instead deficient because the FAC fails to plead the factors required for a concealment claim under *Rattagan*. Although Plaintiffs allege that FORD had superior knowledge of the defect through prereleasing testing data; early consumer complaints about the Engine Defect to Defendant FORD’s dealers who are FORD’s agents for vehicle repairs; dealership repair orders; testing conducted in response to those complaints; and other internal sources of information possessed exclusively by Defendant FORD and its agents, (FAC ¶ 57) the pleading does not identify which advertisements, marketing materials, or representations Plaintiffs reviewed, when he reviewed them, or how those materials were prepared or disseminated by FORD as opposed to the dealership. Further, Plaintiffs do not allege the general point at which disclosure should or could have been made.

Further, while Plaintiffs allege that FORD's concealment induced them to purchase the vehicle and that they would not have done so had they known of the defect (FAC ¶60), the FAC does not allege any facts establishing Defendant's intent to defraud.

The demurrer is SUSTAINED with leave to amend on this ground.

Conclusion

The demurrer is SUSTAINED with leave to amend as to the sixth cause of action in the First Amended Complaint. Plaintiffs shall file a Second Amended Complaint within 20 days.

If Plaintiff's Amended Complaint is not filed by September 8, 2026, the Court will deem that Plaintiff conceded the deficiencies in the Complaint noted below and Defendant may thereafter Answer by October 9, 2026.

The Case Management Conference is continued to December 7, 2026 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.